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Economic growth!

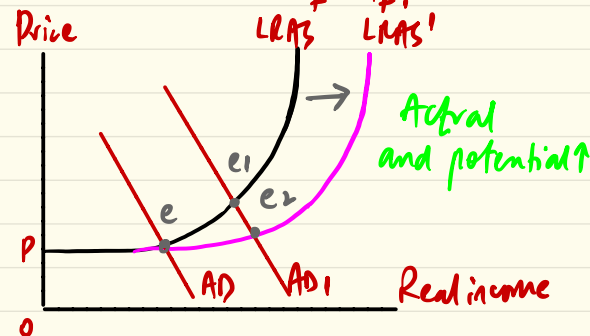
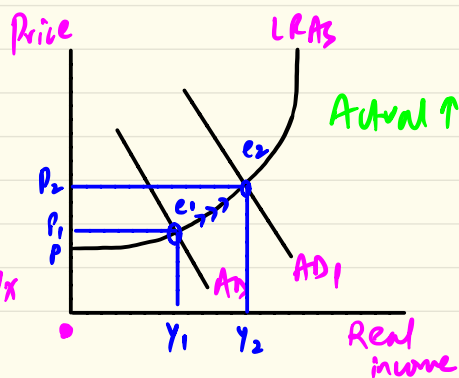
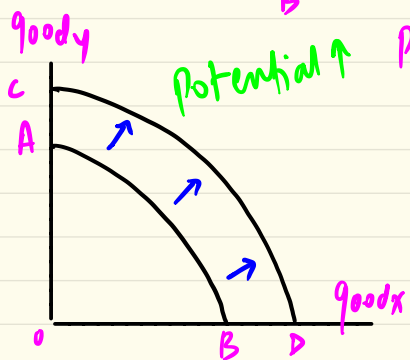
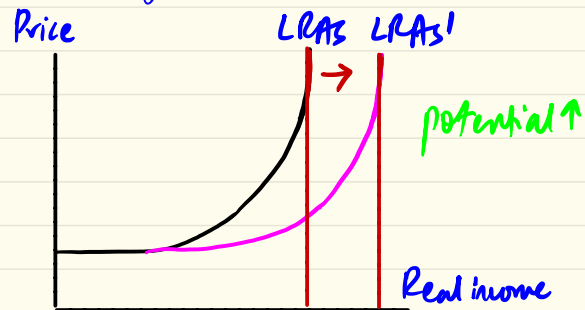
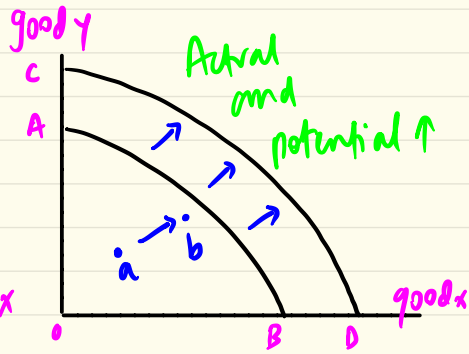
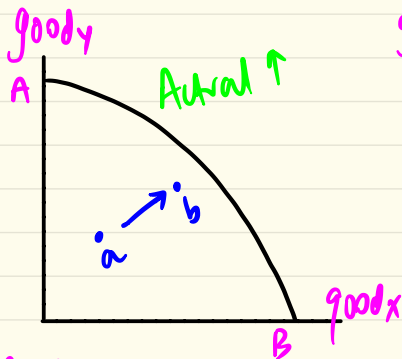


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Economic growth

It is the increase in real income (output) (Expenditure)

Actual growth vs potential growth (Remember the difference)



Causes of economic growth :-

- * An increase in number of workers
- * An improvement in the quality of labour, for e.g. the acquisition of new or improved skills, as a result of improved education and training, leading to a higher level of productivity.
- * A greater commitment to research and development, in terms of both invention and innovation
- * An improvement in the state of technology.
- * An increase in investment in capital stock, for e.g. machinery and equipment; this can be called an increase in gross fixed capital formation.
- * A reduction in taxes on profits of businesses to allow firms to keep more funds that can be used to finance investment.
- * Encouragement given to saving, that is to bring about an increase in the saving ratio, because a high level of saving will provide the necessary funds to finance investment.

- * A move towards more capital intensive, and away from labour intensive production
- * Increase mobility and flexibility of factors of production
- * A more efficient allocation of resources
- * The development of new markets, for example, exports.
- * An upturn or recovery in the business cycle, or trade cycle.

Consequences of economic growth :-

Benefits :

- * An increase in the number of goods and services produced in a country, leading to an increase in the standard of living and a reduction in poverty.
- * Economic growth is an indication that an economy is doing well and this could lead to greater confidence and optimism in the longterm prospects of an economy, encouraging investment decisions.

- * It could lead to decrease in the level of unemployment in an economy
- * The increase in output if exported, could lead to reduction of a deficit in the current account of a country's balance of payments.
- * Increased tax revenue could lead to an improvement in an economy's infrastructure, for example, in relation to education and health care.

Costs :

- * It can sometimes involve a shift away from consumer goods to capital goods, which will be good in the longrun but not necessarily in the shortrun.
- * It may lead to a depletion of natural resources and possible damage to the environment, for example, in relation to pollution, and so a certain rate of economic growth could be regarded as unsustainable.
- * The benefits of economic growth may not always be shared evenly in an economy.
- * There could be a reduction in the quality of life, for e.g. if working hours are longer, this will reduce leisure time.

Questions

Q1 Define economic growth ? 2

Q2 Using diagrams, consider whether actual growth should be preferred more than potential growth ? 8

Q3 Discuss whether economic growth should always be desirable for an economy ? 12

Q4 State 10 causes of economic growth ? 10